MEMO: Procter & Gamble (PG) fiscal Q1 FY2027 earnings variance

To: Investment Committee | From: Equity Research Analyst | Date: 23 October 2026 | Sources: P&G 8-K Ex. 99.1 (22 Oct 2026); synthetic consensus sheet

Headline. Volume-led sales beat, margin-led EPS miss. Net sales were $23,276M (+4.0% y/y), $226M (+1.0%) above consensus of $23,050M, with organic growth of 4.0% against 3.0% expected. Core EPS of $2.00 (+1% y/y) missed consensus of $2.03 by $0.03 (−1.5%); GAAP diluted EPS of $1.97 missed $1.99 (−1.0%). Guidance is maintained, but the midpoint sits slightly below consensus.

Metric	Actual	Consensus	Variance	Result
Net sales ($M)	23,276	23,050	+226 (+1.0%)	Beat
Organic sales growth	4.0%	3.0%	+100 bp	Beat
Core gross margin	50.0%	50.8%	−80 bp	Miss
Core operating margin	25.9%	26.4%	−50 bp	Miss
Core EPS	$2.00	$2.03	−$0.03 (−1.5%)	Miss
GAAP diluted EPS	$1.97	$1.99	−$0.02 (−1.0%)	Miss
Beauty / Health Care / Fabric & Home ($M)	4,410 / 3,318 / 8,205	4,350 / 3,380 / 8,120	+1.4% / −1.8% / +1.0%	Mixed
FY27 core EPS guide midpoint	$7.00	$7.04	−$0.04 (−0.6%)	Below

Drivers. Organic growth of 4.0% was volume +2.4%, mix +1.1% and price +0.4%, with FX neutral; Beauty (+6.4% net sales) led and Health Care was the laggard (volume −2.9%). Core gross margin of 50.0% fell 150 bp y/y and was 80 bp below consensus: commodities (−140 bp), product reinvestments (−140 bp) and mix (−50 bp) outweighed productivity (+120 bp), tariff recoveries (+50 bp) and pricing (+20 bp). Core SG&A fell 80 bp to 24.1% of sales on productivity and leverage, cushioning but not offsetting the gross-margin hit: core operating margin was 25.9%, down 80 bp y/y and 50 bp short of consensus.

Quality of the result. Pre-tax earnings were flat ($6,023M vs $6,034M) and net earnings attributable to P&G fell 0.4% ($4,731M vs $4,750M); the +1% EPS rise comes from a 1.2% lower diluted share count (2,407.2M vs 2,436.8M), i.e. buybacks, not earnings growth. Interest expense rose 13% ($223M vs $197M) and other non-operating income fell to $207M from $268M. The $0.03 gap between core and GAAP EPS is incremental restructuring from the multi-year portfolio and productivity plan, which still has costs to come in FY27, so we treat core EPS with caution. Free cash flow productivity was a healthy 93%, but debt due within one year rose to $17.0B from $11.3B at 30 June.

Guidance. P&G maintained organic sales growth of 1% to 3% and core EPS of $6.89 to $7.11 (midpoint $7.00); all-in sales growth was updated to 2% to 4% to include Thorne (acquired 1 Oct 2026). The $7.00 midpoint is 0.6% below the $7.04 consensus view, so estimates are more likely to drift down than up. Management cites about $0.79 per share of FY27 headwinds, including roughly $1.4B after tax from commodities, $300M from higher net interest, $150M from lower non-operating income and $50M from FX, an 11% drag on core EPS growth.

Recommendation. No change to our long-term view of a resilient, volume-growing franchise, but near-term earnings risk is skewed down. We would trim FY27 core EPS toward the $7.00 guidance midpoint and stay neutral until margins stabilise. Watch next quarter: (1) commodity and tariff cost trends versus pricing and productivity; (2) whether volume growth holds near 2% while Health Care recovers; (3) Thorne integration and its effect on margin and leverage; (4) gross-margin direction after 160 bp of reported erosion.